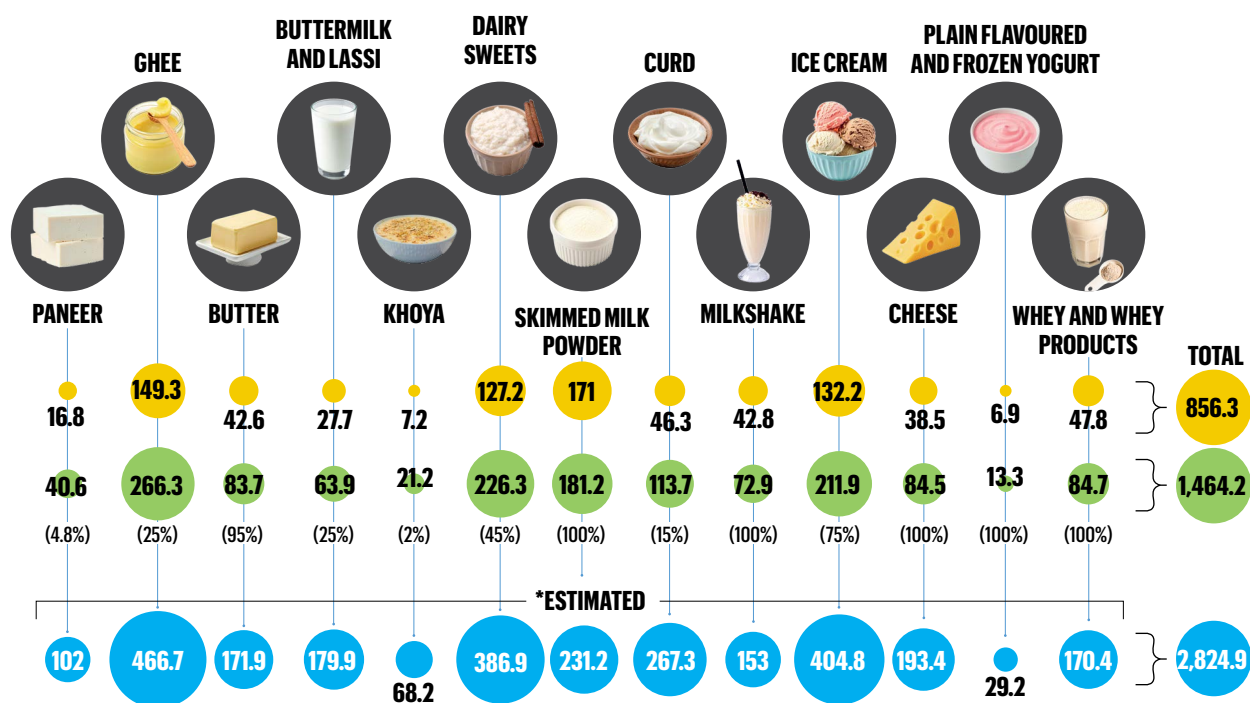


BREAKING DOWN THE BASKET

• The value addition is estimated to rise sharply over the next few years; ghee, ice cream and dairy sweets are expected to be the biggest segments



● FY20 ● FY25 ● *FY30; NUMBERS IN () REPRESENT THE PROPORTION OF THE ORGANISED MARKET IN FY25

FIGURES IN ₹BILLION; ALL FIGURES FOR ORGANISED MARKET
SOURCE 1LATTICE

Godrej Jersey—a company that Godrej Agrovet owns through the acquisition of Hyderabad-based Creamline Dairy Products—has a limited portfolio, primarily consisting of milk, flavoured milk, curd, buttermilk, lassi, ghee, paneer, and *doodh peda*. “It is a deliberate strategy, and we believe it has enough depth with existing categories and what we can potentially do with protein. If you look at the organised market for paneer, its penetration in urban India is at best 25-30%,” says Head of Marketing Shantanu Raj. Godrej Jersey’s approach to value-added products is based on three pillars—nutrition, convenience, and quality. Paneer is a big part of nutrition, while on convenience, its badam milk is the highest-selling flavoured milk in Andhra and Telangana, while for the south overall, chocolate is the clear winner. “The badam

powder and mixes are something children have grown up on here.” Regional nuances play a role, and ghee in the south is an example. “It is associated with important rituals and has a bigger value-added play than perhaps butter,” explains Raj.

Each component of a strategy brings out interesting facets. Hatsun’s Chandramogan says his company’s focus on serving individual consumers through small-to-medium packaging has worked well. “We manage daily peak volumes of 18.2 million pieces with our factories. The objective is to prioritise high-margin replacement models over hotels, restaurants, and catering segment, very similar to a larger chunk of MRF’s business coming from the replacement segment rather than original equipment,” he says.